

MUTUAL FUND SCHEMES THAT INVEST OVERSEAS

MOTILAL OSWAL
NASDAQ 100 ETF

₹5,262 CRORE

MOTILAL OSWAL
NASDAQ 100 FoF

₹3,601 CRORE

FRANKLIN INDIA
FEEDER FRANKLIN
US OPPORTUNITIES

₹3,116 CRORE

MOTILAL OSWAL S&P
500 INDEX FUND

₹2,567 CRORE

ICICI PRUDENTIAL US
BLUECHIP EQUITY

₹1,976 CRORE

EDELWEISS GREATER
CHINA EQUITY OFFSHORE

₹1,653 CRORE

EDELWEISS US
TECHNOLOGY EQUITY FoF

₹1,582 CRORE

AXIS GLOBAL
INNOVATION FoF

₹1,353 CRORE

PGIM INDIA GLOBAL
EQUITY OPPORTUNITIES

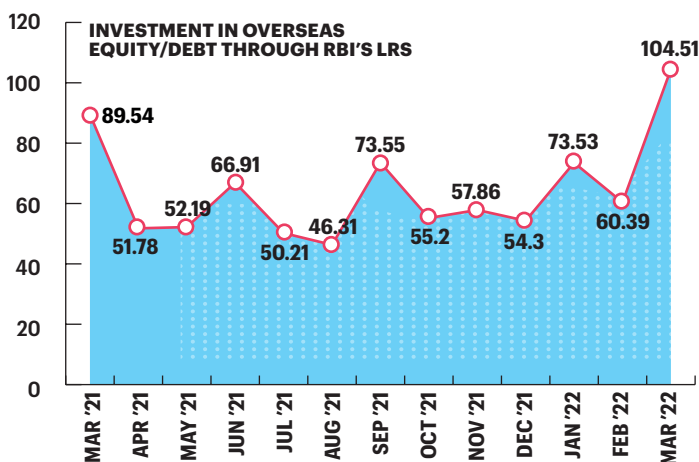
₹1,264 CRORE

AXIS GLOBAL
EQUITY ALPHA FoF

₹1,236 CRORE

FIGURES INDICATE AUM AS ON MAY 31, 2022 **SOURCE** VALUE RESEARCH

STRONG COMEBACK



FIGURES IN \$ MILLION; LRS: LIBERALISED REMITTANCE SCHEME
SOURCE RBI

which executed trades worth \$250 million last year, Indian investors want to own a part of large global brands like Apple, Tesla, Amazon, Nike and Starbucks, among others. “The overseas markets give a chance to invest in some of the most cutting-edge companies in emerging areas such as AI, autonomous vehicles, robotics, and others,” says Shah, while adding that there has been a heavy concentration of tech stocks in the top 10 most traded overseas stocks by Indians.

Till a few years ago, Indian investors were not aware that they could invest in US stocks. The processes, too, were cumbersome, with fund transfers and account opening taking three to four days. That has changed substantially with tech innovation, adds Shah. “Buying shares of a foreign company is quite seamless nowadays. It is just like buying shares of any Indian company. One can open an account with any of the overseas investing platforms, or just check with their broking firm, which might have tied up with one of the platforms,” he adds.

According to the Liberalised Remittance Scheme of the Reserve Bank of India (RBI), Indian individuals can remit up to \$250,000 in a single financial year. The limit can be used to invest in equities, debt, or even buy immovable property abroad.

Interestingly, the concept of fractional purchases—buying a fraction of a share—is allowed while buying US equities, which make these shares affordable for many Indian investors. This assumes significance as the cumulative cost of one share each of the FAANG companies would set an investor back by nearly ₹4 lakh at current prices. If the price of the stocks is a deterrent, one could even use the mutual fund route as the past couple of years have seen many fund houses launch schemes that are particularly focussed on international investing.

“There are two sets of investors. One who want choice and others who only want international diversification. For the second set, mutual funds offer simplicity, and they do